

Table 45.1 Identification Guidelines

Characteristic	Discussion
Appearance	Gaps set off both island tops and bottoms and share all or part of the same price level. Most times, price moves away from the gaps, leaving the island with a clear view of the opposing gap.
Rising trend	Island tops have price that leads up to the left gap and falls away from the right gap.
Falling trend	Island bottoms have price that leads down to the left gap and rises away from the right gap.
Volume	Volume is usually high on the breakout day (the day price makes a second gap and forms the island) but need not be.
Breakout direction	Tops break out downward; bottoms break out upward.
Duration	The island can be from 1 day (a 1-day reversal) to several months long. Some analysts have suggested that islands are quite short, up to a week or two, with relatively flat price movement, but I placed no such restrictions on them.